

China Economic Comment

Another positive surprise in export to yield strong 1H26

Economics

China

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Another positive surprise in export growth

Export growth accelerated further to 27.0% y/y in June, exceeding both the previous month's 19.4% y/y and the consensus expectation of 19.0%. Our preliminary estimates suggest exports expanded by around 6.0% m/m in June after adjusting for seasonality and moving holiday effects, marking the fastest sequential gain in more than a year. Thus, exports expanded by around 8.0% q/q in 2Q26, slightly stronger than the pace recorded in 1Q26. Exports grew by 17.6% y/y in 1H26, substantially outperforming the 5.8% growth recorded in 2025. While price effects likely contributed meaningfully to the strength, volume estimates remain challenging given the growing dominance of technology products in driving growth.

Shipments to the US contracted; the EU and BRI Economies offered the "delta"

Export volumes to the US continued to decline. However, a low base of comparison from last year amid reciprocal tariffs continued to generate double-digit y/y export growth to the US. Shipments to North Asia expanded further in June. Although the pace softened from an elevated base, the expansion trend remained intact, with North Asia continuing to be the largest contributor to overall export growth. In contrast, exports to ASEAN moderated, possibly reflecting easing supply-chain disruptions as improved energy availability reduced demand for related intermediate inputs. Meanwhile, exports to other major destinations, particularly the EU and BRI economies, recorded strong sequential rebounds following weakness in previous months.

Non-Tech sectors provided the incremental push

Growth in the IT export basket moderated from an exceptional 76.0% y/y in May to a still historically elevated 72.4% y/y. Exports of integrated circuits surged 122% y/y, a pace rarely seen in recent history. Slower growth in mobile-phone and PC exports slightly weighed on overall performance. Nevertheless, on a sequential basis, shipment volumes of technology products continued to expand. Following a pause in 1Q26, automobile export volumes increased sequentially in every month of 2Q26, with another jump in June. This may reflect stronger demand for China's new-energy vehicles amid heightened uncertainty surrounding global energy prices. Consumer-goods exports grew by 4% y/y, marking an improvement after a prolonged period of contraction. Exports of furniture and home appliances accelerated significantly, possibly reflecting increased demand related to heatwaves experienced across several markets.

IT goods imports surged further, crude oil import volume dropped to recent low

Import growth accelerated further to 36.0% y/y in June, up from 27.4% y/y in the previous month and well above the consensus expectation of 26.0%. Consequently, China's monthly trade surplus widened to over USD 125 billion. IT-related imports remained the primary driver of import growth. Imports of IT components accelerated to 68% y/y, led by strong growth in integrated circuit imports. Imports of automatic data-processing equipment (ADPs) surged 157% y/y, an unprecedented pace which points to a rapid increase in demand for AI data-center-related products. Growth in the value of commodity imports moderated during the month. Our estimates indicate that crude oil import volumes fell further to one of the lowest levels in recent history. In contrast, natural-gas import volumes improved. Given the improvements in shipping conditions through the Strait of Hormuz, the decline in crude oil imports likely reflects limited urgency to rebuild inventories, while other economies may have taken advantage of the ceasefire period to replenish their stockpiles. Meanwhile, import volumes of iron ore and copper ore showed signs of stabilization after several months of contraction.

Strong external performance boosts confidence; the July Politburo Meeting remains a potential window for policy adjustments

June's robust export performance extended the streak of positive export surprises observed throughout 2026. Despite already being the largest exporter in the region, China achieved 17.6% y/y export growth in 1H26, outperforming many of its EM Asia peers and, indeed, most economies globally.

Importantly, the drivers of export growth are increasingly shifting toward AI-related and other technology products, suggesting that China is becoming more deeply integrated into the more dynamic segments of the global supply chain. The continued expansion in automobile exports also indicates that China's new-energy vehicles are gaining market share amid ongoing uncertainty surrounding global energy supply conditions.

The strong headline growth, China's outperformance relative to peers, and the increasingly technology-intensive nature of its exports is likely to be viewed as supportive of the country's manufacturing competitiveness and production capabilities. That said, given the softness observed in domestic activity indicators during April and May, [the upcoming Politburo meeting in late July](#) remains an important potential window for policy adjustments aimed at supporting overall economic growth.

Figure 1: Export upswing has carried on with another sequential jump in monthly shipment revenue



Source: CEIC, UBS estimates

Figure 2: Export momentum (%3m/3m, sa) picked up over June, leading to a strong 2Q



Source: CEIC, UBS estimates

Figure 3: Shipments to the US contracted, the rather low base yield strong y/y growth



Source: CEIC, UBS estimates

Figure 4: Shipments to the EU and the BRI economies improved sequentially...



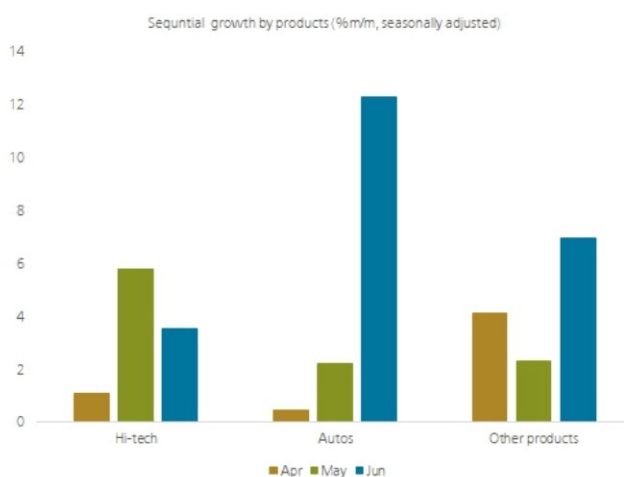
Source: CEIC, UBS estimates

Figure 5: ...while shipments to North Asia remained strong



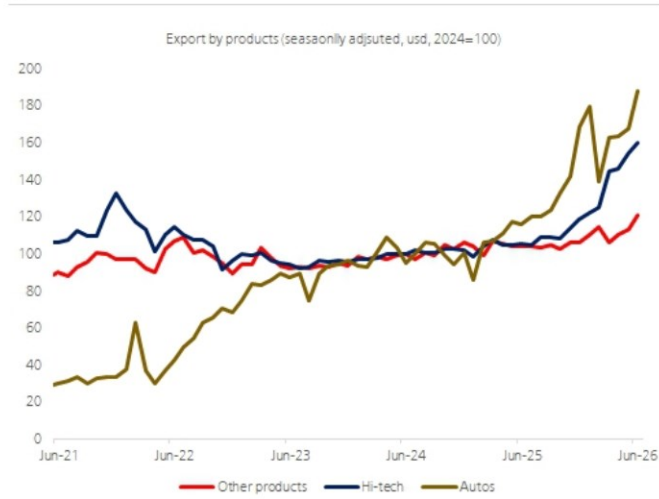
Source: CEIC, UBS estimates

Figure 6: Improvements in Non-Tech exports offered the incremental push



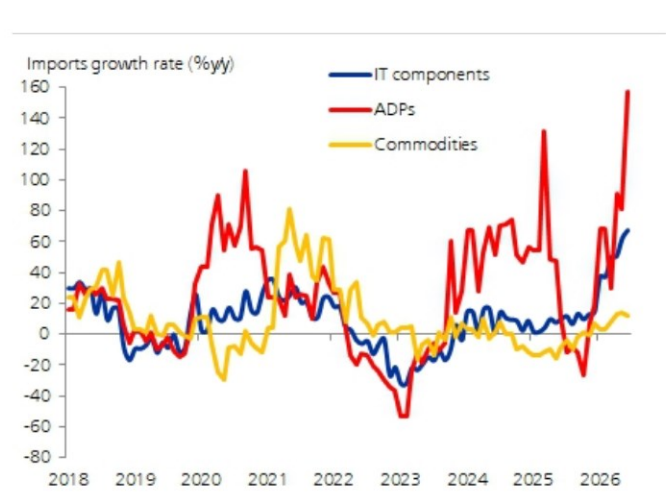
Source: CEIC, UBS estimates

Figure 7: Tech and autos still dominate recent export growth



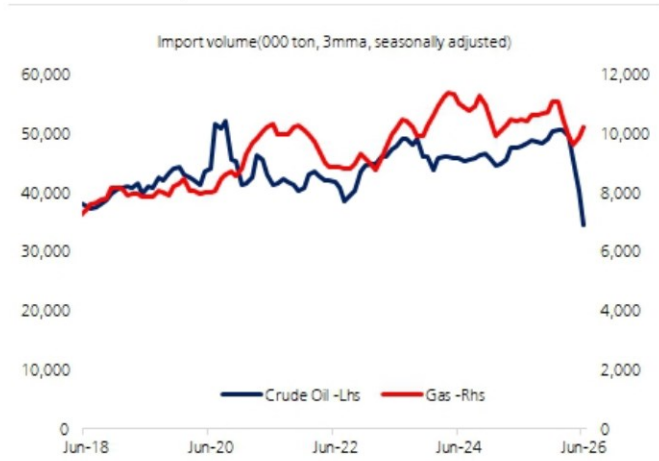
Source: CEIC, UBS estimates

Figure 8: IT component import growth jumped further



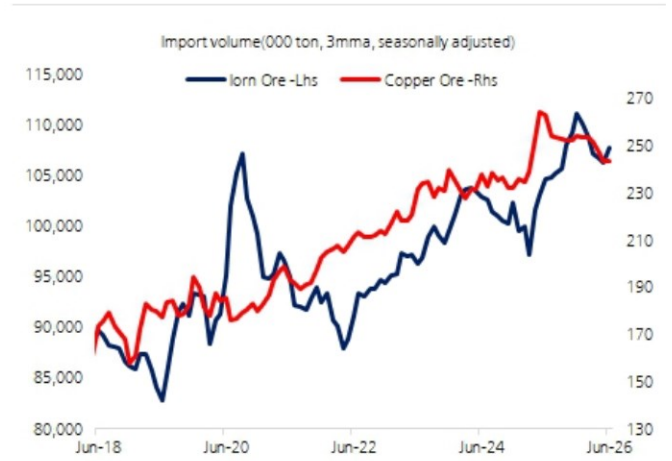
Source: CEIC, UBS estimates

Figure 9: Natural gas import volumes improved, however, those of crude oil continued dropping sharply - the lowest of recent history



Source: CEIC, UBS estimates

Figure 10: The weakening trend of iron and copper imports stabilized



Source: CEIC, UBS estimates

Figure 11: China's export growth by key product

Export growth by product (%y/y)	6/2025	7/2025	8/2025	9/2025	10/2025	11/2025	12/2025	1/2026	2/2026	3/2026	4/2026	5/2026	6/2026
Consumer Goods	-1.6	-2.8	-10.8	-11.1	-18.7	-12.8	-11.9	14.0	14.0	-30.1	-4.7	-2.0	4.0
Lamp	1.3	-5.3	-16.9	-17.0	-30.6	-22.0	-19.3	16.7	16.7	-44.1	-19.6	-12.0	-4.2
Suitcase	-7.1	-9.7	-15.5	-11.5	-25.9	-19.5	-13.5	18.4	18.4	-34.5	-11.3	-4.9	1.6
Footwear	-4.1	-7.8	-16.8	-13.7	-20.5	-17.7	-16.7	6.1	6.1	-39.5	-17.0	-10.3	-1.4
Clothing	1.0	-0.8	-9.7	-8.6	-15.6	-10.5	-10.8	14.8	14.8	-29.4	-2.3	-3.9	2.7
Toy	8.3	-3.3	-20.6	-27.9	-31.1	-25.9	-19.3	1.5	1.5	-41.9	-12.2	-7.2	-6.3
Furniture	0.2	3.4	-2.8	0.0	-12.9	-8.7	-7.8	24.7	24.7	-33.4	-3.8	1.7	9.0
Home appliance	-8.9	-3.8	-6.3	-10.0	-13.9	-5.7	-7.2	11.4	11.4	-15.3	7.2	9.5	15.3
IT	6.2	0.6	6.2	9.0	-1.9	3.4	19.8	30.6	30.6	44.8	56.8	75.6	72.4
Computers	-2.1	-9.3	-3.0	-1.2	-9.9	-6.6	4.6	20.6	20.6	37.3	46.8	65.9	53.0
LCD panel	8.4	1.7	13.8	16.2	12.9	16.6	16.5	23.3	23.3	2.2	-3.4	-5.0	9.4
Electronic ICs	25.3	29.3	32.9	31.9	27.3	34.2	47.2	72.6	72.6	85.3	100.0	111.1	122.1
Mobile phones	-8.5	-21.8	-19.1	-1.7	-16.6	-12.5	10.0	-8.3	-8.3	2.5	11.2	43.5	27.5
Auto and Auto Parts	12.2	12.0	11.9	8.7	15.4	29.1	37.8	41.9	41.9	17.7	28.3	25.2	47.9
Auto	23.7	17.9	17.4	10.8	34.9	52.3	72.1	67.1	67.1	44.0	44.0	39.0	69.9
Auto parts	-0.1	4.5	4.5	5.4	-11.2	1.9	-1.4	14.4	14.4	-12.4	6.6	5.2	19.1
EV	70.9	48.8	57.6	46.9	54.1	139.8	154.9	76.2	120.0	69.0	57.0	55.9	#N/A

Source: CEIC, UBS estimates

Figure 12: China's import growth by key product

Import growth by product (%y/y)	6/2025	7/2025	8/2025	9/2025	10/2025	11/2025	12/2025	1/2026	2/2026	3/2026	4/2026	5/2026	6/2026
Commodities	-9.1	-4.0	-9.6	-1.7	0.8	-0.8	6.5	3.0	3.0	8.2	13.1	14.3	12.3
Iron Ore & Concentrate	-4.6	-9.9	-3.4	14.6	15.3	13.7	11.9	10.7	10.7	12.5	5.1	8.2	21.3
Copper Ore & Concentrate	21.9	37.8	19.4	28.2	31.4	41.0	38.7	37.2	37.2	62.6	16.7	35.9	37.3
Coal	-44.6	-48.3	-36.1	-27.7	-27.8	-34.4	-0.8	-10.4	-10.4	4.0	-5.6	11.1	62.1
Crude Petroleum Oil	-14.9	-6.0	-15.0	-6.9	0.0	-6.8	4.0	-5.2	-5.2	-3.9	15.9	17.0	-6.9
Refined Petroleum Product	-4.9	5.1	-27.5	-16.5	-17.9	-3.4	-3.5	20.8	20.8	31.2	-16.3	-27.1	-29.4
Steel Product	-13.0	-8.3	-5.7	-0.2	-12.7	-1.5	-8.7	-16.4	-16.4	1.5	0.1	-11.4	3.5
Unwrought Copper and Copper Product	4.1	11.8	7.0	7.7	-5.5	-7.1	-5.5	12.2	12.2	20.4	39.6	44.9	44.9
Natural Gas	-6.5	-9.3	-9.1	-20.1	-22.4	-6.2	0.2	-12.7	-12.7	-21.8	-14.1	10.5	17.5
Soya Bean	-1.8	6.3	-8.8	1.0	12.0	7.8	3.3	-3.1	-3.1	20.6	51.8	-10.0	15.5
Machine Tool	3.9	5.0	4.5	1.7	-3.4	-11.7	4.1	-3.9	-3.9	-0.6	-11.9	-16.2	6.0
IT Components	10.1	11.8	6.8	13.3	9.8	13.0	14.6	37.5	37.5	50.0	50.8	62.5	67.6
Diode, Transistor & Similar Semiconductor	8.0	-2.7	-0.2	8.1	6.1	6.7	3.6	17.1	17.1	10.7	9.7	5.2	16.4
Electronic Integrated Circuit	11.3	13.4	8.0	14.3	10.6	14.2	15.8	39.8	39.8	54.0	54.9	67.8	72.6
Liquid Crystal Display Panel	-19.2	-9.1	-16.0	-8.9	-11.9	-13.9	-6.4	-2.2	-2.2	0.3	-8.1	-8.9	-2.5
ADPs	10.5	-11.9	-9.0	-12.1	-26.9	6.5	18.2	68.7	68.7	30.0	91.3	80.7	157.4

Source: CEIC, UBS estimates

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